

US Section 301 Tariffs on Brazil — Impact Assessment for TrueSight DAO

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Prepared by: Sophia Truesight, DAO Autopilot

Executive Summary

On July 15, 2026, the USTR finalized a **25% tariff** on most Brazilian imports, effective July 22, 2026. This report assesses the impact on TrueSight DAO's mission to **restore 10,000 hectares of Amazon rainforest** through regenerative cacao supply chains in Bahia, Brazil.

Key finding: Cacao is EXEMPT from the tariff. However, we **do use Pix** on the ground in Brazil — to pay farmers and suppliers after funds are transferred into our dedicated Brazilian bank account. This creates a direct operational exposure.

1. What Happened

Detail	Value
Tariff rate	25% additional duty
Effective date	July 22, 2026
Legal basis	Section 301, Trade Act of 1974
Investigation started	July 15, 2025
Six cited issues	Digital trade & Pix, preferential tariffs, anti-corruption, IP protection, ethanol access, illegal deforestation

The tariff applies to all Brazilian goods **not listed in the exemption Annex**. The Section 122 surcharge (10%) stacks on top for 4 days (July 22–25), then expires.

2. Cacao Status: EXEMPT ■

The full Chapter 18 of the HTSUS is exempt:

HTS Code	Product	Status
1801.00.00	Cocoa beans, raw or roasted	Exempt
1802.00.00	Cocoa shells, husks, waste	Exempt
1803.10.00	Cocoa paste, not defatted	Exempt
1804.00.00	Cocoa butter, fat and oil	Exempt

HTS Code	Product	Status
1805.00.00	Cocoa powder	Exempt

Why exempt: The US does not grow cacao at commercial scale. USTR's criteria include products that "cannot be grown or produced in sufficient quantities in the United States or obtained from other sources."

No tariff impact on our landed cost for ceremonial cacao imports into the US.

3. The Pix Angle — DIRECT IMPACT ON OUR OPERATIONS ■■

Pix, Brazil's central bank-run instant payment system, was cited **20+ times** in the USTR determination. This is the **first Section 301 case ever** to target a domestic payment system as a trade issue.

How we use Pix

TrueSight DAO uses Pix operationally in Brazil:

1. Funds are transferred into our dedicated Brazilian bank account
2. We use Pix to **pay farmers** for cacao beans
3. We use Pix to **pay suppliers** for converting cacao beans into export-ready form

Why the US targeted Pix

Pix Feature	Brazil's rationale	US complaint
Mandatory participation by large financial institutions	Drives adoption & liquidity	Forces banks into a state-run system, locking out private competitors
Prominent placement in banking apps	User convenience	Government mandates preferential UI placement over private options
Free for individuals, capped fees for businesses	Financial inclusion	Below-market pricing that private competitors can't match
Private firms bear fraud/compliance costs on public infrastructure	Shared responsibility for system integrity	Costs imposed on private firms without corresponding control

Risk to our Pix operations

The US is not banning or taxing Pix itself — Pix is a Brazilian domestic system. The tariff is the US's retaliatory tool. However, there are **three risk vectors**:

1. **Brazilian retaliation** — Brazil has invoked its Economic Reciprocity Law, which could target US digital services operating in Brazil. If Brazil restricts foreign access to Pix or imposes costs on US-linked accounts using Pix, our payment flows could be disrupted.

2. **Regulatory tightening** — The US action puts Pix under an international spotlight. Brazil may respond by tightening Pix compliance requirements (KYC, AML, reporting) to demonstrate good governance, which could increase our operational overhead.

3. **Currency & capital controls** — If trade tensions escalate, Brazil could impose capital controls or currency restrictions that affect our ability to move USD into our Brazilian account and then disburse via Pix.

Mitigation

- Maintain relationships with **multiple Brazilian banks** as fallback payment channels
- Document every Pix transaction with our blockchain trail (TrueChain) so payments are auditable
- Keep a small reserve of Brazilian Real in the account to buffer against any temporary disruptions
- Monitor the Economic Reciprocity Law developments weekly

4. The Deforestation Connection — OUR ADVANTAGE

One of the six cited issues is **illegal deforestation** in the Amazon and Cerrado. USTR cited:

- 91% of Amazon deforestation (2023–2024) was illegal
- 51% of Cerrado land clearing was illegal
- Brazil exported \$19B in forest-risk commodities in 2019

This is where TrueSight DAO's value proposition shines. Our blockchain-verified, regenerative agroforestry cacao is the **antithesis** of the practices the US is targeting. Our traceability system (TrueChain) provides proof of deforestation-free production — a competitive advantage that could qualify for preferential treatment in future trade actions.

5. Strategic Implications

Opportunities

- **Traceability as a tariff shield:** Proven deforestation-free supply chains may gain preferential access as US enforcement tightens
- **Decentralized payments tailwind:** The Pix precedent strengthens the case for blockchain-based payment rails — a long-term hedge if Pix becomes geopolitically contested
- **Narrative alignment:** The US is penalizing deforestation — we are solving it. This strengthens our positioning with US-based partners and customers
- **Cacao exemption is durable:** Raw agricultural commodities not grown domestically are unlikely to be added to the tariff scope

Risks to Monitor

- **Pix operational risk** — Our farmer and supplier payments flow through Pix. Brazilian retaliation or regulatory tightening could disrupt these flows
- **Forced labor Section 301 probe**: A separate investigation concluding July 24 could add 12.5% on cacao supply chains. West African cocoa is explicitly named; Brazil's status is unclear
- **Section 122 overlap**: July 22–25 sees both 10% (122) and 25% (301) stacking, but cacao is exempt from the 301, so only the 122 applies — and it expires in days
- **Currency risk**: Real depreciation against USD could affect farmer pricing and our purchasing power

6. Recommended Actions

1. **Document our deforestation-free provenance** — Ensure every batch of cacao has its blockchain trail complete. This is our tariff-mitigation asset
2. **Monitor the forced labor 301 probe** — File comments if Brazil-origin cacao is proposed for inclusion
3. **Prepare a one-pager for US retail partners** — Explaining why our cacao is exempt and how our supply chain aligns with US trade objectives
4. **Diversify Brazil payment channels** — Maintain backup bank relationships and explore crypto/USDC as an alternative to Pix for farmer payments
5. **Track the Economic Reciprocity Law** — Weekly check on whether Brazil targets US-linked digital payment users
6. **Factor tariff stability into pricing** — The exemption is durable but not guaranteed; build flexibility into US-market contracts

7. Bottom Line

No tariff on our cacao imports. But we have a direct operational exposure through Pix — our farmer and supplier payments run on the very system the US targeted. The immediate risk is low, but we should diversify payment channels and monitor Brazilian retaliation closely.

The mission to restore 10,000 hectares of Amazon rainforest is not just compatible with this new trade reality — it is **directly aligned** with it. Our regenerative, traceable supply chain is exactly what this trade action incentivizes.

Report generated by Sophia Truesight (admin+sophia@truesight.me)

TrueSight DAO Autopilot

Sources: USTR Federal Register Notice (June 1 & July 15, 2026), Green Worldwide Shipping, EY Tax News, Atlantic Council, Global Trade Alert